



**CLASS JUSTIFICATION REVIEW DOCUMENT
FOR OTHER THAN FULL AND OPEN COMPETITION**

Program/Equipment: Armored Multi-Purpose Vehicle (AMPV) Full-Rate Production (FRP(I)) Quantity Increase - up to 703 Vehicles

Authority: Title 10 United States Code (U.S.C.), 3204(a)(1), as implemented by Federal Acquisition Regulation (FAR) 6.302-1(a)(2)(ii) (A) and (B), "Only One Responsible Source and No Other Supplies or Services will Satisfy Agency Requirements"

Amount: \$2.95 Billion (B)

Prepared by:

Typed Name: DALE L. PEMENT
Title: Procurement Analyst
Email: dale.l.pement.civ@army.mil

Phone: (571) 588-9394

Contracting Officer:

Typed Name: JILL T. WAGNER
Email: jill.t.wagner.civ@army.mil

Phone: (571) 588-9275

Technical Representative:

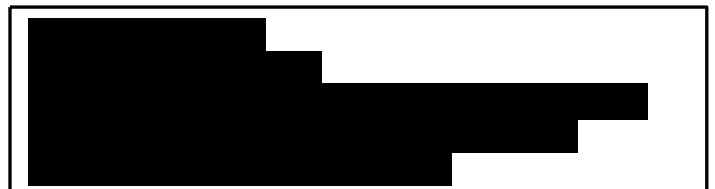
Typed Name: DANIEL O. RAMOS
COL, AR
Title: Project Manager
Mounted Armored Vehicles
Email: daniel.o.amos4.@army.mil

Phone: (586) 282-0968

Requirements Representative:

Typed Name: DANIEL O. RAMOS
COL, AR
Title: Project Manager
Mounted Armored Vehicles
Email: daniel.o.amos4.mil@army.mil

Phone: (586) 282-0968



**DEPARTMENT OF THE ARMY
CLASS JUSTIFICATION AND APPROVAL
FOR OTHER THAN FULL AND OPEN COMPETITION**

1. **Contracting Activity:** Army Contracting Command–Detroit Arsenal (ACC-DTA) is the responsible contracting activity for this action.

2. **Description of Action:** This class justification seeks approval to award on an Other Than Full and Open Competition basis with BAE Systems Land & Armaments, LP (BAE) in support of the AMPV Family of Vehicles (FOV) full rate production (FRP) phase, for the class of requirements listed below.

- a. FRP(I) Option year 3 increase. A modification to the existing Fixed Price Incentive AMPV FRP contract W56HZV-23-C-0024 will be issued to establish pricing for up to an additional 103 AMPV vehicles and associated kits. This effort may be executed in one modification or be modified as necessary to add pricing as it is negotiated. The 103 vehicles and kits described in this paragraph are over-and-above the currently approved quantities for Option Year 3. The acquisition will be funded utilizing Weapons and Tracked Combat Vehicle (WTCV) funding. The total anticipated amount for this contract action is [REDACTED]
- b. FRP(I) Option years 4-5. A modification to the existing Fixed Price Incentive AMPV FRP contract W56HZV-23-C-0024 will be issued to establish pricing for up to 600 AMPV vehicles and associated kits. This effort may be executed in one modification for both years or be modified as necessary to add pricing as it is negotiated. The acquisition will be funded utilizing WTCV funding. The total anticipated amount for this contract action is [REDACTED]

3. **Description of Supplies/Services:** The AMPV is designated to support the Armored Brigade Combat Team by replacing the M113 to eliminate or mitigate capability gaps in protection levels and interoperability. The AMPV has five platform variants: General Purpose, Mortar Carrier, Mission Command, Medical Evacuation, and Medical Treatment. The contract actions covered by this class justification will procure up to 703 additional vehicles and associated kits under the existing FRP(I) contract. All associated kits for FRP(I) will be structured as priced contract options, and kits must be available or configurable for use on each of the five AMPV platform variants. The kit configurations consist of Cold Start Kit, Supplemental Air Transport Kit, Reactive Armor Kit (High Back), and Reactive Armor Kit (Low Back).

The total estimated value of the above actions is \$2.95B as provided in the table below. The source data for the estimate below is the AMPV Independent Government Cost Estimate (IGCE) dated 07 October 2024:

**FRP (I) Contract: Options year 3 increase and Option years 4-5: IGCE for AMPV
Fiscal Year (FY)25-FY27 vehicle production**

Program Year	3	4	5	Total
Fiscal Year				
# of Vehicles				
Contract				
Vehicle Cost (\$M)				
Kit Cost (\$M)				
Other (\$M)				
Profit (\$M)				
Total \$(M)				2,954.18

* Then-Year dollars in Millions (M)

IGCE includes assumptions on quantity of vehicles ordered per year and associated variant mix. Contracts will include ordering flexibility within vehicle variant mix, providing that total AMPVs ordered remain within each year's AMPV quantity above.

4. Authority Cited: The statutory authority permitting other than full and open competition for this action is 10 U.S.C 3204(a)(1) as implemented by FAR 6.302-1, "Only One Responsible Source and No Other Supplies or Services Will Satisfy Agency Requirements." Specifically, FAR 6.302-1(a)(2)(ii) (A) and (B) provides that "Only One Responsible Source and No Other Supplies or Services Will Satisfy Agency Requirements," which provides that "supplies may be deemed to be available only from the original source in the case of a follow-on contract for the continued development or production of a major system or highly specialized equipment, including major components thereof, when it is likely that award to any other source would result in (A) Substantial duplication of cost to the Government that is not expected to be recovered through competition, and (B) Unacceptable delays in fulfilling the agency's requirements."

5. Reason for Authority Cited:

- a. As the designer, system developer, and Original Equipment Manufacturer (OEM) of the AMPV FOVs, BAE is the only known contractor with the requisite technical knowledge, design experience, production facilities, configuration control, and overall management capability to manufacture the AMPV FOVs without a substantial duplication of cost and an unacceptable delay in meeting requirements for FRP(I) additional quantities. BAE's technical knowledge and design experience has been critical to the support and completion of successful testing to include root cause failure analysis and validation of critical design changes. No other firm except BAE is capable of meeting the Army's needs for these requirements, and no other source possesses the technical data, software, and documentation needed to produce the vehicles within the required timeframes.
- b. BAE possesses experienced engineering personnel capable of developing timely and accurate responses to issues related to AMPV production builds that arise

from complex software and electrical systems, armor requirements, and system integration of the vehicles. BAE developed the work instructions and production line tools/fixtures during the Engineering and Manufacturing Development (EMD) and Low-Rate Initial Production (LRIP) phases of the program (Contract W56HZV-15-C-A001). Most recently, BAE was awarded and is currently performing the follow-on contract for AMPV FRP(I), Contract W56HZV-23-C-0024.

- c. The Government does not have the pertinent technical data and computer software to enable competitive re-procurement. A Production Level Technical Data Package (TDP) and Software Package will be delivered 90 days after final delivery of AMPV LRIP vehicles, which will occur by the end of [REDACTED]. Because of the 24 to 26 month production lead-time required for parts ordering, additional FRP(I) quantities must be awarded in FY2025 in order to prevent a break in delivery and maintain production continuity. No contractor other than BAE would have sufficient time to provide for the additional quantities needed under the present FRP(I) contract.

In addition, BAE has asserted limited rights on key portions of the AMPV [REDACTED] technical data which would prevent another contractor from utilizing the full production level TDP. The AMPV vehicle software is not fully restricted; however, BAE asserted restricted rights [REDACTED] that are integral to the AMPV vehicle software. In the absence of a full Production Level TDP and Software Package, an alternate contractor would need to develop, through reverse engineering, the technical information and expertise necessary to successfully perform the FRP efforts. On 12 July 2024, ACC-DTA contacted BAE per Army Directive 2018-26 to enter negotiations in order for the Army to obtain a Specifically Negotiated License to enable the Army to conduct future full and open competition of the AMPV FOV. BAE submitted [REDACTED]

- d. **Duplication of Cost and Unacceptable Delay:** The table below depicts the projected duplication of cost and unacceptable delay that would be incurred to prepare a source to perform FRP(I) Options 3-5 additional quantities for the AMPV FOV. The Government estimates that it would take approximately 66 months and \$597M for a new contractor to develop the same level of expertise and capability as BAE for the AMPV FOV. The AMPV program office developed the estimated length of time applicable to the AMPV FOV using history from the AMPV FOV EMD contract. In order to generate the costs listed in the chart below for AMPV, the Government used actual historical AMPV contract data along with an in-house Government engineering analysis. The estimates outlined below are based on actual durations and cost incurred and were adjusted for inflation. These delays and costs would need to be duplicated by any other source to perform the proposed efforts as the Government will not take delivery of a TDP

until 2QFY25 after completion of LRIP vehicle deliveries; also, the Government does not have data rights sufficient for competitive reprourement for all the data needed, as described in section 5.c, above.

e. **Table: Duplication of Cost and Unacceptable Delay Factors**

AMPV			
Task	Length of Time	Cost (\$M)	Ref.
Design Parameters, Technical Data and Computer Software, and Logistics Data and Documentation for Vehicle Systems		\$390	5.e (i)
Build Test Vehicles (<i>*Concurrent with Design</i>)	*	\$148	5.e (ii)
Vehicle Performance Testing (<i>*Concurrent with Design</i>)		\$59	5.e (iii)
Source Selection		--	5.e (iv)
Total	66 Months	\$597	5.e (v)

Duplication of Cost and Unacceptable Delay, Rationale:

- i) **Design Parameters, Technical Data and Computer Software, and Logistics Data and Documentation for Vehicle Systems:** Per the above, the additional time of [REDACTED] and the duplication of cost of \$390M can be attributed to the need to redesign, qualify, and integrate components for which the Government does not have data rights necessary for competitive reprourement of the technical data and computer software. To accomplish this, another contractor would need to develop complete design parameters for components and integrate into a full system to meet requirements. BAE has the following documented: design parameters, Computer-Aided Design (CAD) models and performance models for the entire vehicle, and each Line Replacement Unit (LRU) interface. The development and delivery of technical drawings and logistics data required to field new systems are also reflected in the table above. These estimates include reverse engineering of the vehicle and LRU and the development of design criteria, CAD models, and performance models.
- ii) **Build Test Vehicles:** A new contractor would be required to build and test prototype vehicles. The estimated time of [REDACTED], running concurrent with design, and cost of \$148M required to build and test vehicle systems, including the development of manufacturing and production processes, validation of technical data, and qualification of components, are reflected in the table above. These estimates include time and costs to validate the technical data is complete and dimensionally correct against vehicles produced, and that all models and manufacturing processes are sufficient. The development of manufacturing and production processes involves acquisition or development of tooling and includes qualification of vehicle

- components. Once these items are completed, the contractor will establish the performance and quality of processes and manufacturing capabilities.
- iii) **Vehicle Performance Testing:** A new contractor would be required to verify new designs and manufacturing processes through testing. The estimated time of [REDACTED], running concurrent with design, and cost of \$59M required to test the various systems are reflected in the table above. Vehicle Performance Testing includes the vehicles' performance capability to verify all parts of the vehicles' function and meet all requirements called out in the performance specification for each variant. Reliability and Maintainability testing is required for any new vehicle configuration and is included in the estimates.
- iv) **Source Selection:** A competitive procurement would add [REDACTED] for the source selection evaluation board for a procurement of this magnitude; this [REDACTED] timeframe is additive to schedule. No additional costs are anticipated, per the table above.
- v) **Total Time and Cost:** Per the table above, cost to the Army of approximately \$597M total would be required to address the above requirements and cause a delay of approximately 66 months to bring a new contractor to the level at which BAE was operating during LRIP. The above estimates are based on actual data from the AMPV program as well as an IGCE.
- f. Awarding this effort to a source other than BAE would result in a substantial duplication of cost and unacceptable delay not expected to be recovered through competition. The negotiated profit rate on the most recent AMPV vehicles was [REDACTED]. The Government estimates the profit on a competitive acquisition to be [REDACTED]. Therefore, extending a [REDACTED] unit price savings across the total efforts to be procured under this action, the total anticipated savings would be [REDACTED] which does not outweigh the cost duplication of \$597M stemming from competition. Similarly, implementation of a competitive acquisition strategy would result in a total 66-month delay as indicated in the table above and results in an unacceptable delay in meeting the agency's needs. The Army declared First Unit Equipped (FUE) and Initial Operational Capability in FY2023 and has recently entered FRP. Implementing a competitive strategy would not only result in unacceptable delay and slow momentum during the natural period of production ramp-up to a full steady-state, it also delays the entire AMPV FRP phase with a de facto suspension to AMPV fielding, as fielding is *already* under way for this vehicle system. [REDACTED]
- g. Having managed AMPV system development through 10 years of EMD and LRIP, and further having awarded both significant FRP and production capacity

expansion funding, the Army has recently positioned itself to now produce AMPVs at economies of scale but can only do this through its present incumbent supplier, BAE. Nearly all major non-recurring costs have been underwritten by the Government already with this supplier during the preceding program phases. No other source can reasonably produce AMPVs at the full production rate contemplated by this action.

6. Efforts to Obtain Competition:

- a. *Effective competition*: For the reasons cited in Section 5 above, the Government is not pursuing competition for the AMPV FRP(I) contract actions. All notices required by FAR 5.201 shall be published, as appropriate, and any bids or proposals received for any of the contract actions will be considered.
- b. *Subcontracting competition*: The solicitations and resulting contracts already do, or will include, the required FAR and Defense Federal Acquisition Regulation Supplement subcontracting clauses. BAE will also be required to submit new or revised individual subcontracting plans for review and approval for each effort.

7. Actions to Increase Competition: The Government will continue to conduct market research to determine if there is any change in industry interest and capability in connection with AMPV FRP. This will be used to assess whether competition could be suitable in the FRP(II) timeframe at the prime contract level. The Government will also continue efforts to pursue a Specifically Negotiated License with BAE with respect to obtaining rights sufficient to enhance competition.

8. Market Research: Market research was performed pursuant to FAR 10.002(b)(2)(i) and (ii). A market survey was issued on 05 April 2024, (SAM.gov) in the form of a Sources Sought / Market Survey of Interest Notice to determine whether sources other than BAE Systems are capable of manufacturing the AMPV FOV; the survey included 33 detailed questions. The market survey was posted for four weeks and closed on 03 May 2024. The objective was to identify and assess the capabilities and readiness of any and all qualified contractors, with regards to producing AMPVs.

BAE was the only firm to respond (03 May 2024) to AMPV's posted Sources Sought Notice, and they responded fully to all 33 of the Market Survey Questionnaire Topics. BAE's comprehensive response was reviewed by Product Manager (PdM) AMPV Subject Matter Experts, with the following conclusion: BAE is the only source capable of meeting the United States Government (USG) requirements. No other firms responded to the Market Survey.

Evaluation Results:

Vendor	Business Size	Location	Capability / Assessment
			Highly capable of meeting contract requirements. BAE, as the OEM for the

BAE Systems	Large Business	Sterling Heights, MI (Program) York, PA (Primary Manufacturing Facility)	AMPV, Bradley Fighting Vehicle System FOV, MLRS Carrier, M113 FOV, and all derivatives, is the incumbent contractor for the AMPV EMD/LRIP W56HZV-15-C-A001 contract, and the AMPV FRP(I) W56HZV-23-C-0024 contract. BAE has thus already established the specific AMPV production and management capability, and extensive supply chain, which enable BAE to meet all AMPV FRP requirements with immediate start, and no loss of learning.
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9. Interested Sources: To date, there have been no other interested sources other than BAE's full response to the market survey as noted in section 8. Only BAE was determined to be capable of providing the technical services and production capability required by the Government for the AMPV system prime contractor.

10. Other Facts:

a. Procurement history:

- Contract W56HZV-23-C-0024 was awarded to BAE Systems Land & Armaments L.P. (Commercial and Government Entity (CAGE): 06085) March 2023; total contract value: \$1.6B (FRP Years 1 & 2). Contract W56HZV-15-C-A001 was awarded to BAE Systems Land & Armaments L.P. (CAGE: 7B726) December 2014; total contract value: \$1.995B (EMD and LRIP combined for AMPV) (still active) [REDACTED]
- W56HZV-15-C-A001 was awarded using full and open competition. W56HZV-23-C-0024 was awarded using other than full and open competition.
- W56HZV-23-C-0024 was awarded under the authority of FAR 6.302-1(a)(2)(ii)(A) and (B).
- Paragraph 7 of the previous J&A for W56HZV-23-C-0024 (signed 04 February 2020) "The Government will conduct market research to determine if there is industry interest and capability to compete the next production contract. The Government will also monitor Government-funded development of new hardware and software as well as the associated data rights and deliverables, in order to enable potential competition of specific subsystems. Once testing has been substantially completed and the design is set, a business case analysis, including review of data rights and deliverables, will be conducted to determine which subsystems are able to be competed. Also, this business case analysis will review which parts are able to be manufactured via advanced/additive manufacturing in order to address potential readiness issues."

Toward those objectives, since 2020 the AMPV program office has initiated the

outsourcing of redesign, integration, and production of sub-systems, of (i) the objective commander's weapon station, and provides it as government-furnished materiel, and (ii) Patient Physiological Status Monitor mounting brackets.

MPV also outsourced sustainment support to accelerate the establishment of other vendors.

5. The AMPV EMD and LRIP phase contract W56HZV-15-C-A001 was competed and awarded to a single contractor, BAE. With both development and operational testing complete, the AMPV has achieved FUE and is being fielded to soldiers since May 2023. The existing design meets the AMPV operational capability needed and the AMPV program was approved to enter FRP in February 2023. For any other contractor to perform this effort would require significant duplication of both cost and schedule, as articulated in Section 5 of this Justification. Competition of these requirements would not be in the best interests of the Government.
6. There are no unusual patterns identified in the procurement history.
7. The prior J&A was approved by the Senior Procurement Executive on 04 February 2020, leading to the eventual award of contract W56HZV-23-C-0024. Notwithstanding some notable world events since the prior J&A approval—such as a global pandemic, substantive domestic inflation across 2021-2022, and Russia invading Ukraine—there are not significant changes to the overall business case for negotiating with BAE on a sole-source basis for the AMPV fleet requirements.

b. Other Facts: N/A.



11. **Technical Certification:** I certify that the supporting data under my cognizance, which are included in the justification are accurate and complete to the best of my knowledge and belief.

Name: Daniel O. Ramos
COL, AR
Title: Project Manager,
Mounted Armored Vehicles

Date:
Signature: RAMOS.DANIELO Digitally signed by
RAMOS.DANIELO.MA
Date: 2024.11.13 09:37:48 -05 00

12. **Requirements Certification:** I certify that the supporting data under my cognizance, which are included in the justification are accurate and complete to the best of my knowledge and belief.

Name: Daniel O. Ramos
COL, AR
Title: Project Manager,
Mounted Armored Vehicles

Date:
Signature: RAMOS.DANIELO.M Digitally signed by
RAMOS.DANIELO.MA
Date: 2024.11.13 09:38:19 -05 00





13. Fair and Reasonable Cost Determination: I hereby determine that the anticipated cost to the Government for these contract actions will be fair and reasonable. The negotiated price will be determined fair and reasonable through a combination of Cost Analysis to thoroughly analyze each of the proposed individual cost elements, in addition to conducting a price analysis to ensure the proposed price is consistent with the Independent IGCE and actual historical pricing of the AMPV and similar Program Executive Office Ground Combat Systems programs. ACC-DTA has a dedicated Cost and Pricing Division with trained Cost/Price Analysts and Industrial Specialists who will assist the PCO by performing the Cost and Price analysis. This analysis will also be supported by a PdM AMPV technical review. The PCO will request that engineers or similar personnel familiar with the end item review labor types and quantities as well as material kinds and quantities to ensure that what is proposed is fair and reasonable. The Defense Contract Audit Agency (DCAA) and Defense Contract Management Agency (DCMA) expertise and audit support may be requested for input if applicable. The recommendations contained in the DCAA Audit, DCMA Technical report, and PdM AMPV Engineering Technical reports will be used to develop a recommended negotiating position. This detailed Government Position will be approved in a comprehensive Business Clearance Review (BCR) consisting of reviews from senior contracting officials. Certified Cost or Pricing Data will be required and will form the basis for this analysis. The results of negotiations, and the detailed Fair and Reasonable determination from the Contracting Officer, will be documented in a Post Negotiation Memorandum that will be reviewed and concurred upon by senior Contracting personnel within the Pricing Division.

Name: Jill T. Wagner

Date:

Title: Procuring Contracting Officer

Signature:

WAGNER.JILL.TR
ACY [Redacted]
Digitally signed by WAGNER.JILL.TRACY
Date: 2024.11.13 09:51:59 -05'00'

14. Contracting Officer Certification: I certify that this justification is accurate and complete to the best of my knowledge and belief.

Name: Jill T. Wagner

Date:

Title: Procuring Contracting Officer

Signature:

WAGNER.JILL.TR
ACY [Redacted]
Digitally signed by WAGNER.JILL.TRACY
Date: 2024.11.13 09:52:29 -05'00'



APPROVAL

Based on the foregoing class justification, I hereby approve the addition of up to 703 AMPV vehicles and associated kits under contract W56HZV-23-C-0024 on an other than full and open competition basis pursuant to the authority of 10 United States Code 3204(a)(1), as implemented by Federal Acquisition Regulation 6.302-1(a)(2)(ii) (A) and (B), Only One Responsible Source and No Other Supplies or Services Will Satisfy Agency Requirements. This approval is subject to the availability of funds, and provided that the services and property herein described have otherwise been authorized for acquisition. The total value for this acquisition is \$2.95B.

Date

BUSH.DOUGLAS.R
OSS _____

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Date: 2025.01.10 16:08:43 -05'00'

Douglas R. Bush
Senior Procurement Executive

